MARKING SCHEME

2.4 LABOUR SUPPLY AND PRODUCTIVITY

1990/CE/II/20 D	1994/CE/II/17 A	1998/CE/II/14 B	2005/CE/II/16 D (51%)	2012/DSE/I/06 C (86%)
1991/CE/II/09 C	1995/CE/II/16 C	1998/CE/II/15 C	2005/CE/II/17 C (84%)	2012/DSE/I/10 D (38%)
1991/CE/II/56 D	1995/CE/II/59 D	1999/CE/II/14 A	2006/CE/II/14 C (72%)	2014/DSE/I/09 B (79%)
1992/CE/II/10 C	1996/CE/II/12 B	1999/CE/II/20 D	2007/CE/II/15 B (67%)	2015/DSE/I/06 B (73%)
1992/CE/II/14 D	1996/CE/II/13 B	2001/CE/II/13 B	2009/CE/II/16 C (81%)	2016/DSE/I/08 B (86%)
1993/CE/II/06 A	1996/CE/II/14 A	2001/CE/II/15 A	2010/CE/II/18 B (68%)	2017/DSE/I/11 C (75%)
1993/CE/II/19 C	1997/CE/II/55 B	2002/CE/II/14 D (29%)	2010/CE/II/20 A (84%)	2018/DSE/I/09 C (94%)
2019/DSE/I/06 D	2023/DSE/I/06 D	2024/DSE/I/08 D	2024/DSE/I/09 C	**2025/DSE/I/35** A

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1990/CE/I/2(b)
(i) Average labour productivity in 1985: $39 589 mn ÷ 177 000 = $223 666.7
Average labour productivity in 1986: $47 052 mn ÷ 190 000 = $247 642.1 (3)
∴ Higher labour productivity in 1986 (1)

(ii) - better training and knowledge
- more investment in technology and machines
- better management, e.g. division of labour (2@ max :4)
(Mark the **FIRST TWO** points only.)

1994/CE/I/2 (2)
Average labour productivity is output per unit of labour, e.g. output per man-hour.
Methods to raise labour productivity:
- division of labour
- increasing quantity / quality of capital goods
- more training of workers (2@, max: 2)
- incentive schemes, e.g. a change from time rate to piece rate
(Mark the **FIRST TWO** points only.)

2000/CE/I/11(c)
Output per unit of labour or output per man-hour
- better education / training
- better capital
- better technology
- better management, e.g. division of labour
- better working conditions (1@, max:3)
(Mark the **FIRST THREE** points only.)

2002/CE/I/3

Firm A: 100 000 ÷ (100 × 500) = 2 units of output per man-hour (1)

Firm B: 144 000 ÷ (120 × 800) = 1.5 units of output per man-hour (1)

- different education / training
- different capital
- different technology
- different management
- different working conditions (1@, max : 2)

(Mark the **FIRST TWO** points only.)

2005/CE/I/10(a)(ii)

- different quality of factor input
- different education and training
- different degree of technological advancement
- different management efficiency / different degree of division of labour ,
- different working environment
- different labour welfare and incentives (1@ , max: 3)

[Mark the **FIRST THREE** points only.]

2007/CE/I/2

(a) In year 2006: [36 000/(40 × 300) =] 3 units / man-hour (1)

In year 2007: [40 000/(50 × 200) =] 4 units / man-hour (1)

(b)
- better capital / mechanization \
- better training / education
- better working condition
- better management, e.g. the practice of division of labour
- higher incentives, e.g. change from time rate to piece rate
- improvement in technology (1@, max: 2)

[Mark the **FIRST TWO** points only.]

2010/CE/I/2

(a) No, because (1)

the labour supply of Firm A = (20 × 100 =) 2 000 man hours is smaller than that of Firm B (1)

= (12 × 200 =) 2 400 man hours. (1)

(b) No, because (1)

the labour productivity of Firm B = (120 000 / 2 400 =) 50 units of output per man hour is (1)

the same as that of Firm A = (100 000 / 2 000 =) 50 units of output per man hour. (1)

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2024/DSE/II/13d

(d) Marks for effective communication (EC: max 2 marks)

Marks	Performance
2	• *Support arguments with the source/data and appropriate economic theories.* • *Present relevant material.* • *Present well-organised and coherent answers without repetition of ideas.* • *Use language that expresses ideas clearly and fluently with appropriate use of words/terms/symbols.*
1	• *Present arguments with some support of the source/data and economic theories.* • *Present some irrelevant material.* • *Present answers in a less organised way with some repetition.* • *Use language that conveys a clear message with some inappropriate use of words/terms/symbols.*
0	• *Present arguments with no support of the source/data and economic theories.* • *Present material unrelated to the gist of the question.* • *Present inconsistent arguments.* • *Express limited ideas with inappropriate use of words/terms/symbols.*

The maximum mark for content is 12 marks.